

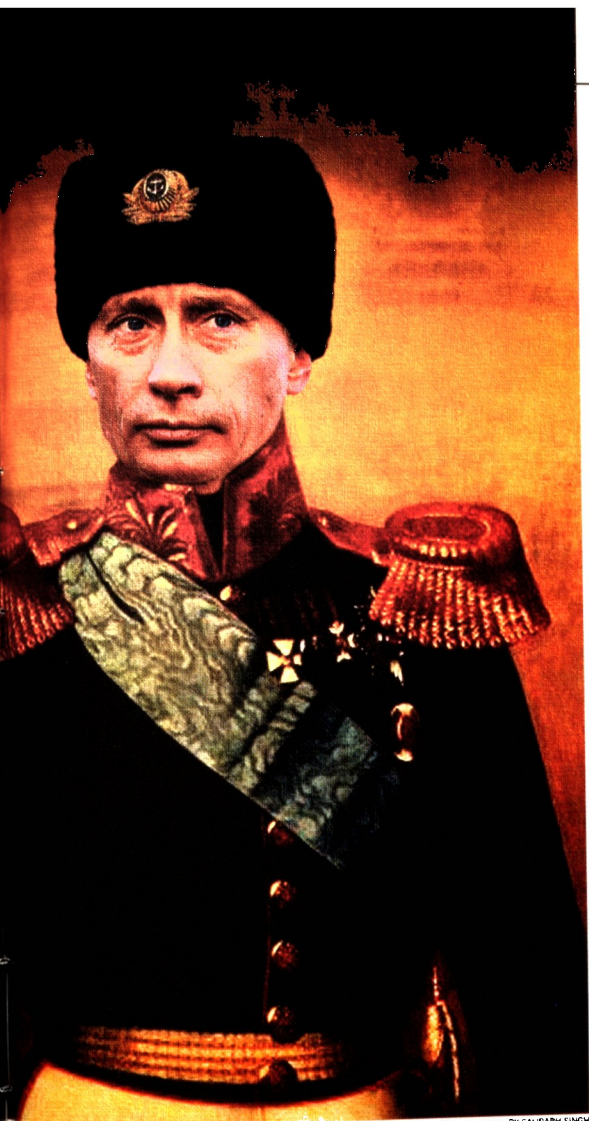


Photo: Illustration BY SAURABH SINGH

cently, Mordashov bought a major US steel mill from Mittal.

Putin has said often that without consolidation of power in the hands of a group of people it is impossible to run the country. President Dmitry Medvedev also has endorsed this view of centralisation of power. Putin has now created a ruling party system by consenting to be chairman of United Russia—the dominating or de facto party in the country. Putin has formulated three major principles of ideology. He has described himself as a social democrat, meaning he would pursue social policies for the weaker sections that require the protection of the state. His second principle is, as he told US Secretary of State Condoleezza Rice, that he and Medvedev are nationalists. Putin's nationalism does not go against the interests of other nations, but as one that defends Russian interests. His third principle is that of democracy which I interpret as the kind of democracy which has developed in Russia.

There was talk that he replaced the oligarchs from the Yeltsin era with the so-called siloviki. You must recall that there was no concept of private property in the USSR and we are talking of just 20 years ago. It was practically impossible

to buy a house as the land belonged to the state. After the collapse, private property was allowed and the market economy unfolded. Around 2,000 people amassed huge wealth but the volume of private capital is not that high. These people prefer to invest their funds in segments that bring quick returns with minimum risks—trade, energy and construction. Few invest in highways, water supply, sanitation and schools or building ships, combat aircraft and tanks. The task before the state is to handle these sectors and that is why many state corporations have been created in the last few years.

True, Putin went after many private businessmen who were billionaires, forcing them to leave the country apart from severely punishing those who tried to grab power. He made it clear to the businessmen: "If you want to do business, please do. But mind your own business and don't try to grab political power. That is not your business." At the same time he sent a message to the siloviki and government bureaucrats: "If you want to work for the state then concentrate on your service. Don't get into business—that is not your business and live on your salaries." Many officials and armed forces officers, including the deputy finance minister, have been arrested or detained on corruption charges in the last two years. Five former governors of republics are either under trial or in prison. Still, people feel that these measures are not sufficient to contain corruption. Medvedev has said this would be his foremost task. Corruption is a big problem.

Even after he gave up the presidency, Putin did not relinquish power. When he had come to power, he had brought a group with him. Today, the ruling elite of this country is the bureaucratic elite. No one denies the fact that the power elite emanates from the siloviki. There are about 30 key individuals who hold key positions in the Government. In India, if the Congress goes out of power, there are other parties that can take on the responsibility of running the country. In Russia there is no alternative group to Putin's party. There is no other team here. Therefore he allocated roles to be played by different people. As chairman of the United Russia party he not only has control over the Parliament but also over the legislative councils across the country. He controls all the levers of power. Unlike past prime ministers, he will be the most powerful head of the Government. He will be the de facto national leader.

There is talk of two power centres with Medvedev becoming the President. But there is really only one Czar in Russia today and that is Putin. Medvedev is not offended by the situation as he himself has made a huge leap within the power structure. He was a deputy prime minister earlier and now he has been made the President. This is good for Russia because it requires a powerful leader with authority.

Putin does want to be another Peter the Great. He looks at Peter as a role model and has a huge portrait in his house. But my conclusion is—he is not there as yet. He requires another 10 years. He has already sent a clear message that he will not quit the scene till then. So the direction for the next decade has been set. Maybe if the process continues, Putin will come to be regarded as the father of a new modern Russia.

*The author is a renowned Russian historian and has written major books on Soviet and Russian leaders including the controversial Let History Judge in 1972 on Stalin's legacy and a recent one on Putin*